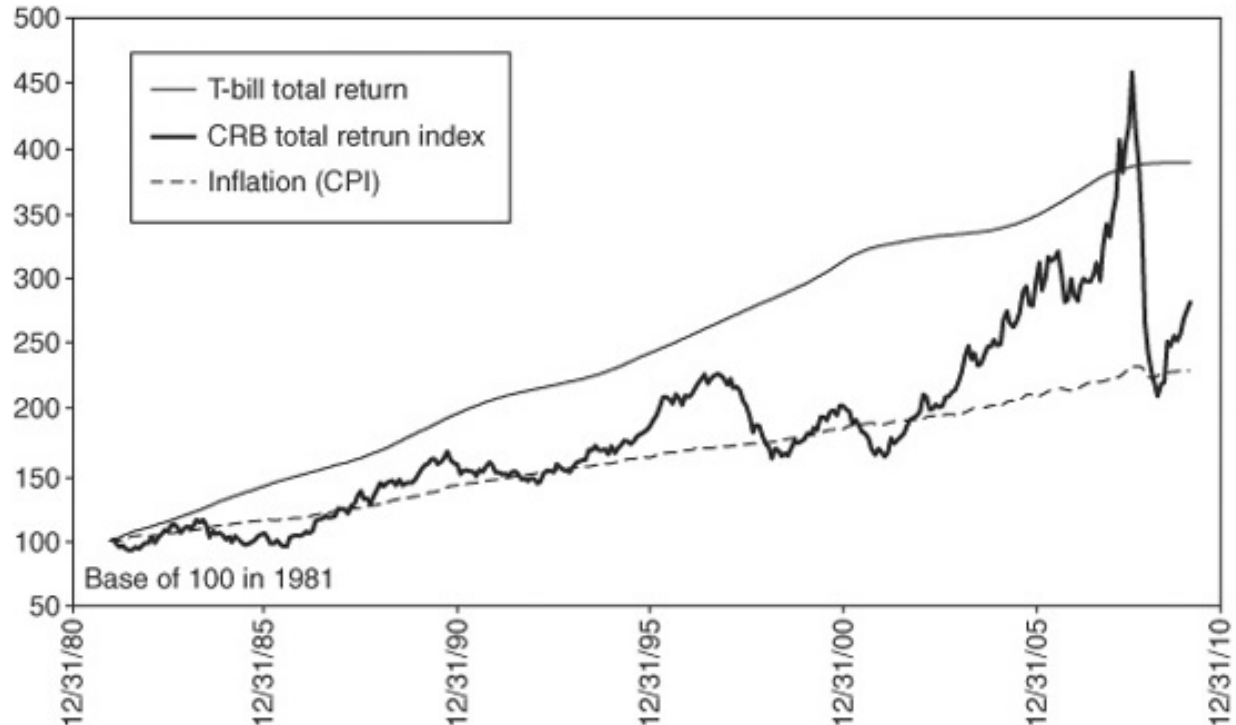


FIGURE 10-5

CRB Futures Total Return Index Assuming a T-Bill Return on the Cash Portion



A total return commodities index includes the price change of the commodity, the price difference between near-term and one-month futures contracts, and the interest income earned overall on the cash and margin. The 95 percent cash portion is assumed to be invested in Treasury bills for the sake of calculating total return indexes. The one-month returns are linked together over an extended period of time to form [Figure 10-5](#). As you can see, you make little to no money over T-bills if you do not time commodity purchases and sales correctly.

Commodities in a Portfolio

What makes commodities funds attractive to investors is their low correlation with stocks and bonds. This means that the traditional securities markets' going down does not affect the prices of commodities. [Figure 10-6](#) illustrates the correlation between the CRB Total Return Index, U.S. stocks, and Treasury bonds. Commodities total return indexes generally have a low correlation with stocks and bonds, and this should make them a good